ROBINSON APPLIANCE RENTALS · GREELEY, COLORADO

Colorado sales tax — how we report amounts that are not taxed

A reference for our CPA — owner question IN-44 · October 31, 2026

Robinson Appliance Rentals is a family-owned washer and dryer rental business in Greeley, Colorado. Customers rent appliances month to month; we pay sales tax when we buy each appliance. Our bookkeeping software prepares the numbers for the Colorado sales tax return (Form DR 0100, filed through SUTS, the Sales & Use Tax System).

The question we originally asked (IN-44) was:

> On the SUTS return, how should non-taxed amounts be reported: rent that is exempt under the short-term lease rule, sales to exempt customers, and charges you decided are not taxable — included in gross sales and then deducted (under which deduction name), or left out of gross sales?

On the owner's instruction, we researched the most likely treatment from the Department of Revenue's own forms and instructions and applied it in the software as starting defaults, so filing work is not blocked while the question waits. **These are researched defaults, not a CPA answer.** Every line that uses one is labelled in the software "Researched default — CPA confirmation still pending", and IN-44 stays open until you confirm or correct each treatment below. Your confirmed wording replaces the default as a plain setting — no software change is needed — and you can also make the change yourself in the app with the Accountant sign-in, which records the bucket as set by the accountant and clears the pending label. Placement does not change the tax due; it changes where the amounts sit on the return.

The rule behind all four buckets

On the current DR 0100, line 1 is "Gross sales of goods and services for this site/location only", and its instruction says to **include all sales of goods and services, whether taxable or not**. Deductions come off on Schedule A (line 2), and line 3 is line 1 minus line 2. So for every bucket below, the treatment is the same shape: **counted in gross sales, then deducted on Schedule A** — nothing is left out of gross.

Bucket (plain words)	Schedule A line	Confidence
Rent that is exempt under the short-term lease rule	A13-1	MEDIUM
Charges that are not taxable (services and fees)	A3-1	HIGH

Sales to exempt customers (government, charities, schools)	A4-1	HIGH
Sales delivered outside Colorado	A2-1	MEDIUM (see §4)

1. Rent exempt under the short-term lease rule — A13-1 MEDIUM

What belongs in this bucket. Rent we collect on appliances where we paid sales tax when we bought the appliance — the lease exemption in C.R.S. §39-26-713(1)(a). One correction the research surfaced: the statute covers leases of **three years or less**, not 30 days (the 30-day figure is the separate rooms/lodging exemption, §39-26-704(3)). Our customer rentals run month to month, always well inside three years.

The label the app shows.

> `"A13-1 Other exempt sales — short-term lease, tax paid on acquisition (C.R.S. 39-26-713(1)(a))" — with "Researched default — CPA confirmation still pending"`

Why the confidence is MEDIUM. The Office of the State Auditor's tax expenditure evaluation of this exemption (2020-TE14) says lessors report the lease payments in gross sales and deduct the exempted amount on Schedule A either as nontaxable services or as "Other exempt sales". No Department of Revenue publication assigns a lessor's own receipts to one line. We chose A13-1, "Other exempt sales", because these are exempt sales rather than services, and the line asks the filer to identify the exemption claimed, which our label does. (On forms before July 2025 this line was numbered A12-1; the current form renumbered it to A13-1 when a new line 11 was inserted — older references to "line 12" mean this line.)

THE QUESTION WE ARE ASKING YOU TO CONFIRM

1. Do our rental receipts qualify for the §39-26-713(1)(a) exemption — we pay sales tax when we buy each appliance, and our rentals run month to month, always under three years?
2. Does the exempt rent belong on Schedule A line A13-1 "Other exempt sales", with the exemption named on the line, rather than on line A3-1?

If you would report it on A3-1, or treat any part of the rent differently, tell us and we will change the default. Of the four items in this document, this is the one where your confirmation matters most.

2. Charges that are not taxable (services and fees) — A3-1 HIGH

What belongs in this bucket. Amounts for services and fees that Colorado does not tax. The return's Supplemental Instructions assign them directly: "Services that are not taxable —

Schedule A, line 3 — §39-26-104(1), C.R.S."

The label the app shows.

> `"A3-1 Sales of nontaxable services" — with "Researched default — CPA confirmation still pending"`

Why the confidence is HIGH. The Department's own instructions name this line for exactly these amounts.

THE QUESTION WE ARE ASKING YOU TO CONFIRM

Do these charges belong on Schedule A line A3-1 "Sales of nontaxable services"? One boundary we need your word on: the Sales Tax Guide says a service charge bundled into a taxable sale without being separately stated can be fully taxable. We state service charges separately on the customer's bill — is that enough to keep them in this bucket?

3. Sales to exempt customers — A4-1 HIGH

What belongs in this bucket. Sales to buyers who are exempt by law — the U.S. government and Colorado governments, charitable organizations, schools, and affordable-housing projects — with the buyer's exemption certificate kept on file. The retailer carries the burden of proving the exemption, so the certificate is part of the record for every sale in this bucket.

The label the app shows.

> `"A4-1 Sales to exempt entities and organizations" — with "Researched default — CPA confirmation still pending"`

Why the confidence is HIGH. The Supplemental Instructions assign exactly these buyers to Schedule A line 4.

THE QUESTION WE ARE ASKING YOU TO CONFIRM

Do sales to exempt entities and organizations belong on Schedule A line A4-1? Two boundaries we are applying, which we also ask you to confirm: a buyer purchasing for resale is a **wholesale** sale (line A1-1), not A4-1; and Direct Pay Permit holders are no longer reported on A4-1 — the current form gives them their own line, A11-1.

4. Sales delivered outside Colorado — A2-1 MEDIUM

What belongs in this bucket. Sales counted on a Colorado return but delivered outside Colorado. The Supplemental Instructions put on line 2 sales sourced to the retailer's Colorado location but delivered outside Colorado.

The label the app shows.

> `"A2-1 Sales made to nonresidents or sourced to locations outside of Colorado" — with "Researched default — CPA confirmation still pending"`

Why the confidence is MEDIUM overall. The line itself is named directly in the instructions (that part is HIGH). The overall rating is MEDIUM because the treatment splits three ways, and the second case is a rule about which return the sale belongs on, not a label:

1. Sourced here, delivered out of state → counted in gross, deducted on A2-1.
2. Delivered to a **different Colorado location** → reported on that location's return instead; it never enters this return's gross sales at all.
3. The same amount is never both excluded and deducted. Department publications conflict on purely destination-sourced out-of-state sales and none reconciles them, so the software never applies both treatments to one amount.

THE QUESTION WE ARE ASKING YOU TO CONFIRM

1. Do sales delivered outside Colorado belong on Schedule A line A2-1, as in case 1 above?
2. Is case 2 right — a rental delivered to a different Colorado location is reported on that location's return and kept out of this return's gross sales entirely?
3. Is the never-both-ways rule in case 3 the right guard?

What happens with your answers

The wording in the app is a setting, not fixed code. When you confirm or correct a bucket — on this document, or directly in the app with the Accountant sign-in — the confirmed wording replaces the researched default, the "CPA confirmation still pending" label clears for that bucket, and the change is logged with who made it and when. When all four are confirmed, owner question IN-44 closes. Until then the pending label stays, so no researched default is ever mistaken for your answer.

For completeness, two more treatments were verified in the same research but are not used by the software today, because it does not produce those buckets: resale/wholesale sales → line A1-1 (HIGH), and bad debts charged off where tax was paid → line A8-1 (HIGH).

Sources: Form DR 0100, current editions (07/03/25 and 09/19/25); Supplemental Instructions for Form DR 0100 (Rev. Feb 2023); C.R.S. §39-26-713(1)(a); Office of the State Auditor, Tax Expenditure Evaluation 2020-TE14; Colorado Sales Tax Guide (May 2026). The full research note, with source-by-source reasoning, is *docs/research/2026-10-31-in-44-deduction-reporting.md* in the same repository as this document.

Prepared by Robinson Appliance Rentals from Department of Revenue sources, October 31, 2026. This document records researched reporting defaults and asks for the CPA's confirmation; it is not itself tax advice.